

A deal that costs 3% of EPS on day one, and pays for itself by year three.

Acquirer Co. buys Target Co. for \$26.0bn, half in cash and half in stock. A Python merger model tests whether the deal adds to the acquirer's earnings per share, and what has to go right for it to work.

RUN-RATE SYNERGIES

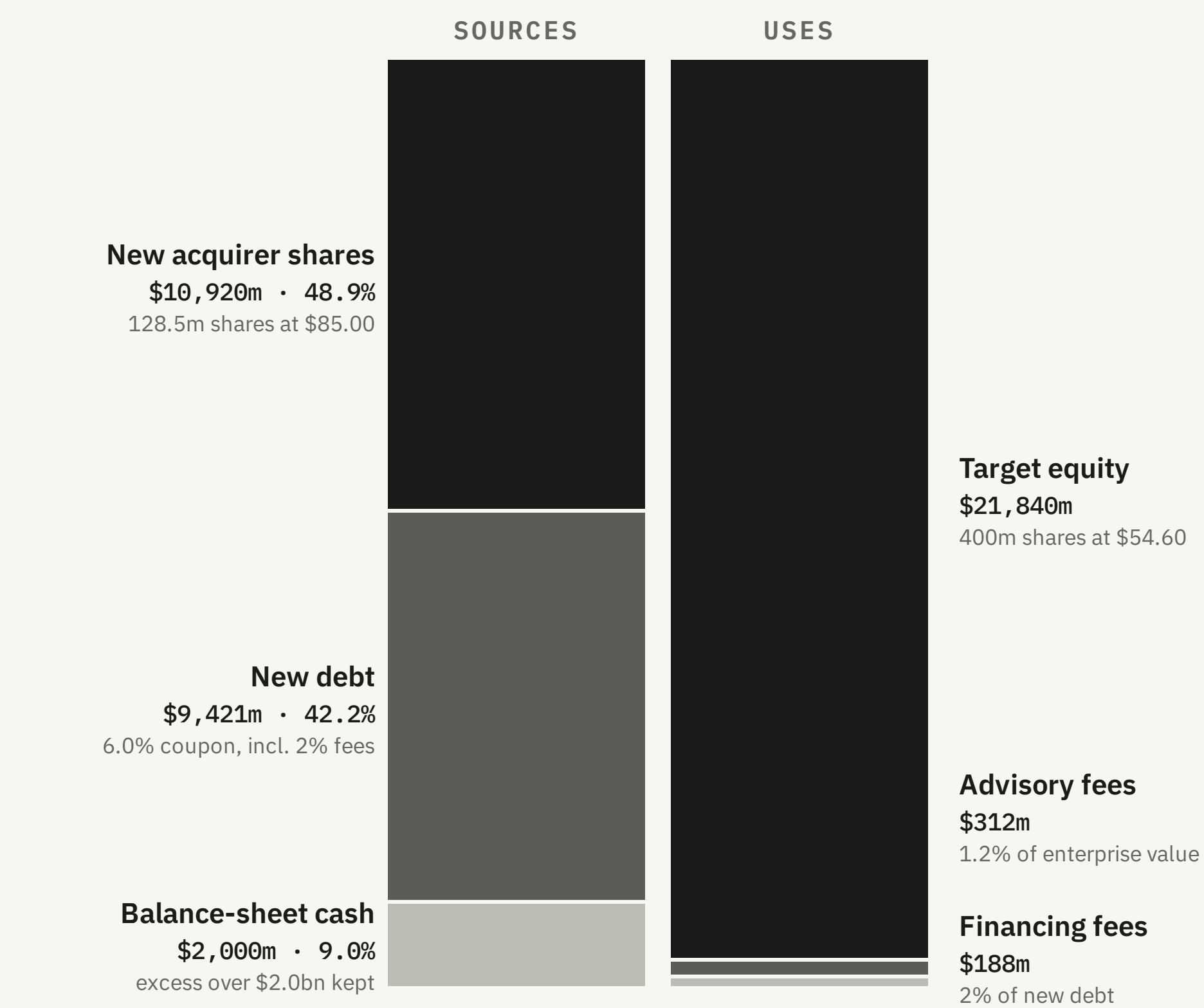
\$500m

needed in full by year three; the deal breaks even at \$397m in year two

EPS ACCRETION / (DILUTION) TO THE ACQUIRER, BY YEAR



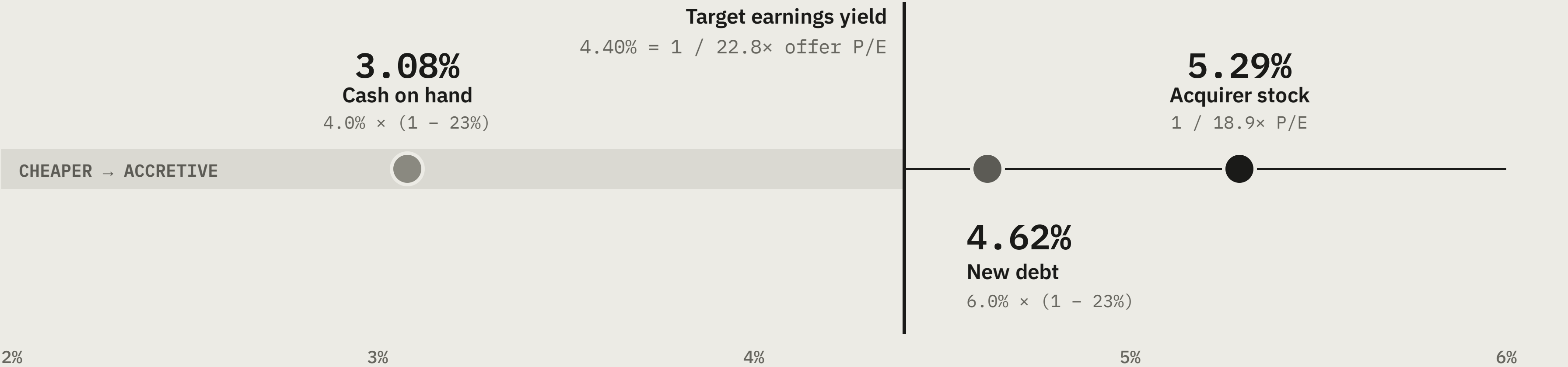
\$22.3bn in, \$22.3bn out, and \$12.4bn of goodwill.



PURCHASE PRICE ALLOCATION	
Equity purchase price	\$21,840m
– Target book equity	\$6,500m
= Excess price	\$15,340m
Intangibles (25%)	\$3,835m
+ Deferred tax	\$882m
= Goodwill	\$12,387m
Intangibles amortise over 15 years: \$256m a year against GAAP EPS.	

Only cash is cheaper than the earnings being bought.

AFTER-TAX COST OF EACH CURRENCY VS THE TARGET'S EARNINGS YIELD AT THE OFFER



18.9×
ACQUIRER P/E

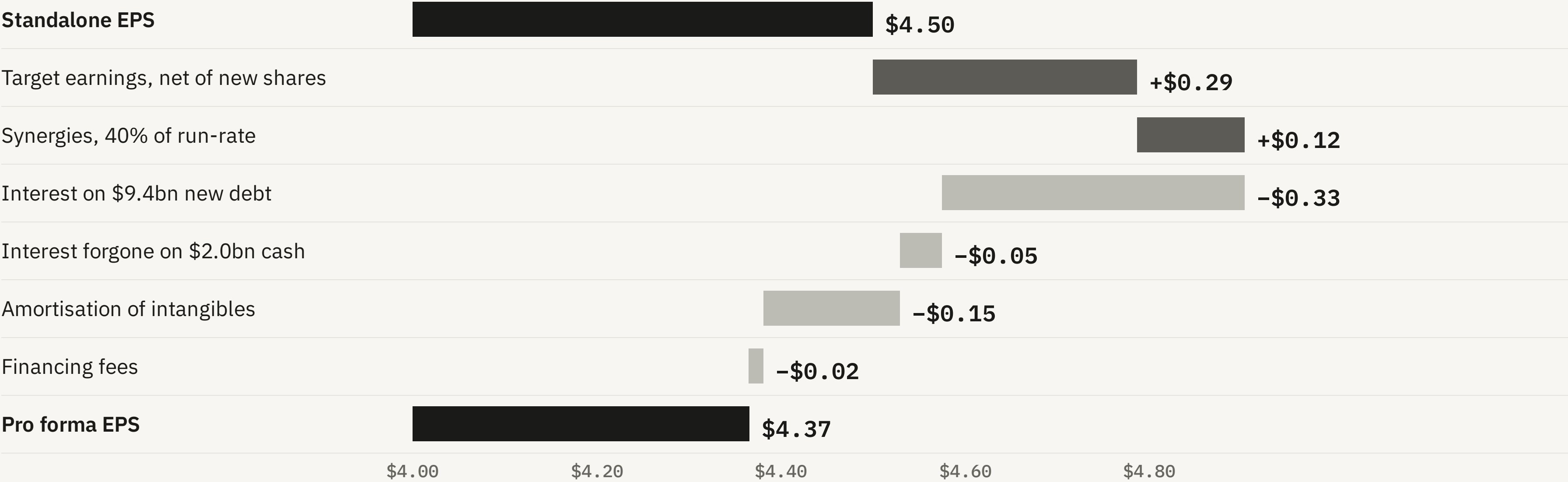
VS

22.8×
P/E PAID FOR THE TARGET

Paying a higher multiple than your own with your own shares dilutes by construction. Only balance-sheet cash earns less than the target's earnings, and it funds just \$2.0bn of a \$22.3bn deal.

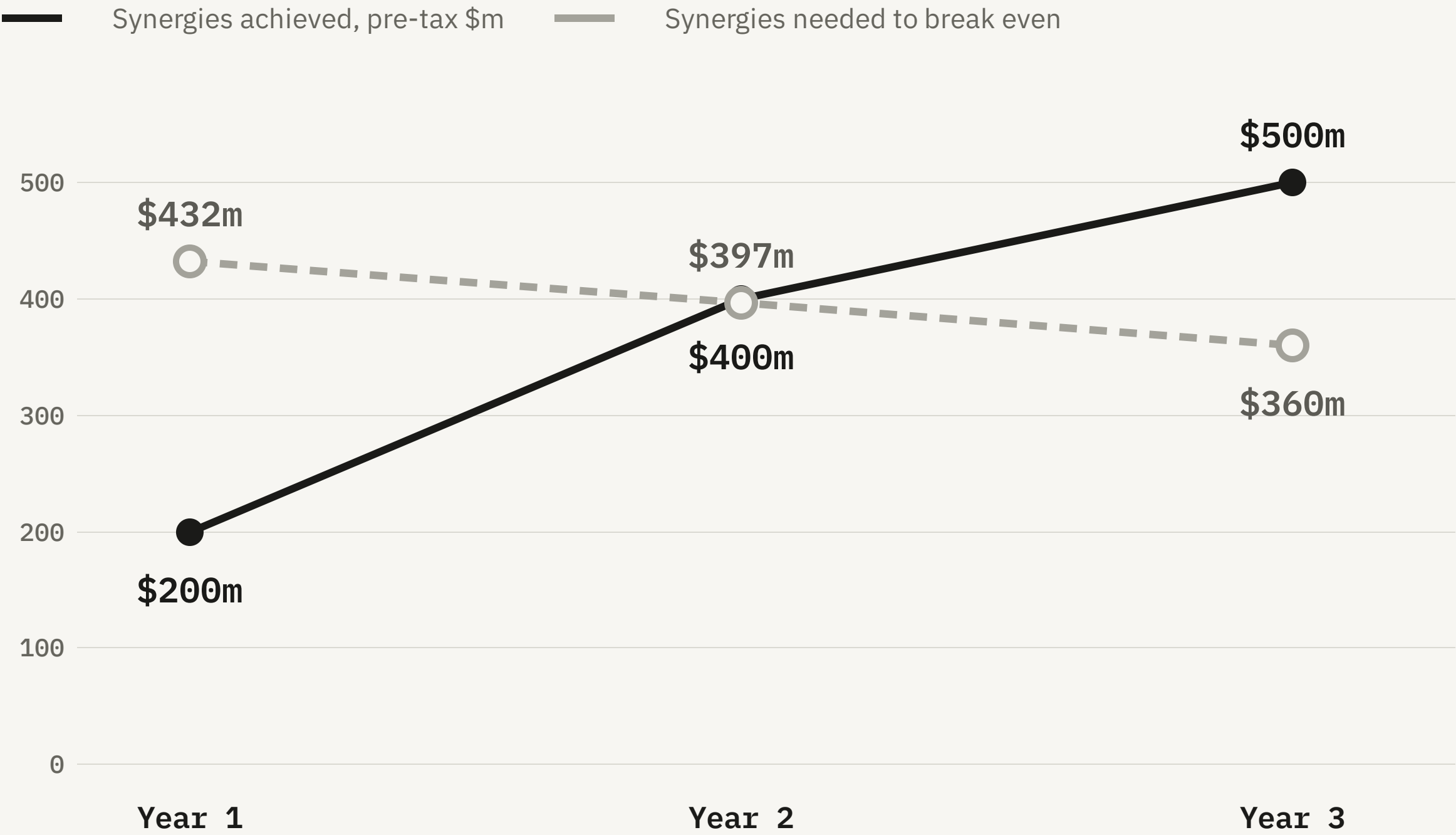
Where the \$0.13 of year-one dilution comes from.

YEAR 1 EPS
-3.0%



Axis starts at \$4.00. The target's earnings more than pay for the 128.5m new shares; financing and amortisation take \$0.54, year-one synergies give back \$0.12. Cash EPS, which adds back amortisation, is +0.3%.

The two lines cross in year two.



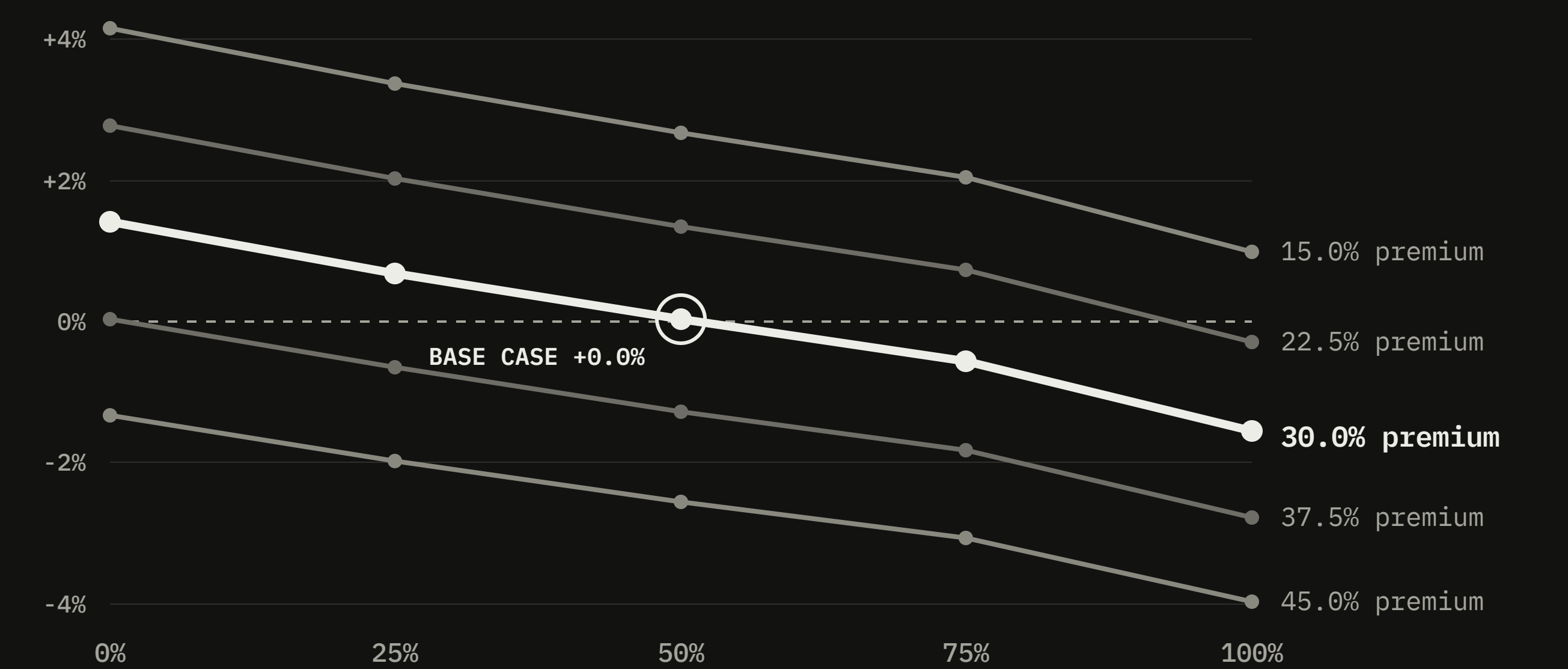
EPS ACCRETION

Year 1	-3.0%
Year 2	+0.0%
Year 3	+1.6%

Breakeven falls every year because the target's earnings grow while the cost of the debt stays flat. The execution risk is all in year one: \$232m short.

Each 7.5 points of premium costs 1.3 points of EPS.

YEAR 2 EPS ACCRETION (Y) VS SHARE OF THE PRICE PAID IN STOCK (X) · ONE LINE PER OFFER PREMIUM



ALL CASH, 30% PREMIUM

+1.4%

ALL STOCK, 30% PREMIUM

-1.6%

ACCRETIVE SCENARIOS

13 of 25

LIVE FORMULA CELLS

50

Target holders bring 15% of the earnings and keep 9.7% of the company.

